

SERVICE MONTHER, LLC vs. JAMES TAYLOR
Case No. CL24-07741

Defendant's Motion to Set Aside Default and Vacate Default Judgment

TENTATIVE RULING

The Parties are to appear to discuss whether the matter has settled.

VICTORYA ROSE JAMES and ELIJAH RICARTE JAMES vs. HYUNDAI MOTOR AMERICA
Case No. CU24-06447

Plaintiffs' Motion for Attorneys' Fees

TENTATIVE RULING

On May 5, 2026, the above matter was on calendar and the Parties appeared. The Parties made oral arguments on the issue of reasonable hourly billing rates. The Court allowed additional declarations and continued the hearing to June 26, 2026. The Court has reviewed the supplemental declarations.

At the hearing, Plaintiff's Counsel also referenced the Court's tentative ruling in *Powell v General Motors, LLC*, FCS 059228, where the Court found billing rates ranging from \$195 to \$875 with most billing in the \$400-\$600 hour range to be reasonable. The next sentence, however, states: "Further, Defendant does not make a particular challenge to counsel's rates." In the present case, Defendant has challenged Plaintiff Counsel's billing rates. The Court has considered all arguments and submissions and modifies its previous tentative ruling.

Plaintiffs VICTORYA ROSE JAMES and ELIJAH RICARTE JAMES move for an award of attorneys' fees and costs following settlement of this action brought under the Song-Beverly Consumer Warranty Act (the "Act" or "lemon law") against Defendant HYUNDAI MOTOR AMERICA.

A prevailing buyer under the lemon law shall be allowed to recover attorney's fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the prosecution of his action. (Civ. Code, § 1794, subd. (d).) When awarding required fees to a lemon law plaintiff a court must make an initial determination of the actual time expended and then ascertain whether under all the circumstances of the case the amount of actual time expended and the charge for the time are reasonable. (*Hanna v. Mercedes-Benz USA, LLC* (2019) 36 Cal.App.5th 493, 507 (*Hanna*)). These circumstances include, but are not limited to, the complexity of the case, procedural demands, skill exhibited, and results achieved. (*Ibid.*) If the time expended or the charge for that time are not reasonable under all the

circumstances the court must take this into account and award a lesser amount of fees. (*Ibid.*) The prevailing buyer has the burden of showing that the fees incurred were allowable, reasonably necessary, and reasonable in amount. (*Ibid.*) A reasonable hourly rate is one that fits with prevailing rates for like noncontingent work in the same area. (*Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1132; *Pulliam v. HNL Automotive Inc.* (2021) 60 Cal.App.5th 396, 406.) This “lodestar” method of fee award calculation vests discretion in the trial court to decide which hours are reasonably spent on litigation and what hourly rates should be used. (*Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 35.) This is because a trial judge is the best judge of the value of professional services rendered in the trial court. (*Goglin v. BMW of North America, LLC* (2016) 4 Cal.App.5th 462, 470.) However, the trial court may not tie the fee award to the amount of the plaintiff’s recovery in an action under the Act. (*Hanna* at p. 510.)

A prevailing buyer may also recover his costs. (Civ. Code, § 1794, subd. (d).)

The court finds that the rates Plaintiffs’ counsel request of up to \$695 an hour are not reasonable for the work involved and the area. Plaintiffs’ evidence in support of their claimed rates refers to contingent fee standards while the lodestar rate is to be calculated by reference to noncontingent standards. Defendant presents evidence that a reasonable noncontingent rate is \$300 an hour for attorneys and \$100 an hour for paralegals, by reference to its own counsel’s rates. The Court reduces the hourly rates for Plaintiff’s counsel and their paralegal as follows:

Attorney C.P.	\$450/hour
Attorney A.G.	\$400/ hour
Attorney C.U.	\$400/hour
Attorney J.L.A.	\$225/hour
Paralegal	\$100/hour

The court finds that the hours counsel billed are reasonable except for the estimated time by attorney CU for Plaintiff’s reply, review opposition, reply, tentative ruling, argument preparation, and attending hearing for a total of 5.3 hours. The Court finds a reasonable time of 2.5 hours for this work. Thus, the Court reduces the amount of hours claimed by attorney CU by 2.8 hours.

Plaintiffs’ motion is granted as follows:

Attorney C.P:	\$450/hour x 16.5 hours = \$7425
Attorney A.G:	\$400/hour x 3.8 hours = \$1520
Attorney C.U:	\$400/hour x 5.3 hours (8.1 hours – 2.8 hours) = 2120
Attorney J.L.A:	\$225/hour x 4.7 hours = \$1057.50
Paralegal	\$100/hour x 3.5 hours = \$350
Costs	= \$1245.59

TOTAL = \$12,472.50 attorneys fees + 1245.59 costs = \$13,718.09
